

The Standard Group PLC

Unaudited Group Results for the 6 month period ended 30 June 2022

The Board of Directors of The Standard Group PLC is pleased to announce the unaudited results for the six month period ended 30 June 2022.

Consolidated Statement of Comprehensive Income for the 6 month period ended 30 June 2022

	30 June 2022 (Unaudited) Kshs'000	30 June 2021 (Unaudited) Kshs'000
Revenue	1,371,574	1,596,935
Total operating costs	(1,714,797)	(1,602,553)
Finance Costs (net)	(85,688)	(81,560)
Loss before income tax	(428,911)	(87,178)
Income tax credit	128,674	25,965
Loss after tax	(300,237)	(61,213)
Attributable to:		
Non-controlling interests	(21,736)	(6,566)
Owners of the parent	(278,501)	(54,647)
	(300,237)	(61,213)
Earnings per share Basic- Kshs	(3.41)	(0.67)
Earnings per share Diluted- Kshs	(3.41)	(0.67)
Dividend per Share - Kshs	-	-

Consolidated Statement of Financial Position as at 30 June 2022

	30 June 2022 (Unaudited) Kshs'000	31 December 2021 Audited Kshs'000
ASSETS		
Non Current Assets	2,863,156	2,847,214
Current Assets	1,658,921	1,507,098
Total Assets	4,522,077	4,354,312
EQUITY AND LIABILITIES		
Capital and Reserves		
Share Capital	408,654	408,654
Share Premium	39,380	39,380
Revenue Reserve	130,330	408,831
Capital Redemption Reserve	102	102
	578,466	856,967
Minority Interest	167,719	189,455
Total Shareholders Equity	746,185	1,046,422
Non Current Liabilities	31,144	31,144
Current Liabilities	3,744,748	3,276,746
TOTAL EQUITY AND LIABILITIES	4,522,077	4,354,312

GROUP RESULTS

The first half of the year was challenging for the Kenyan economy, evidenced by a weakened Kenya Shilling, growing inflation and an increase in the Central Bank Rate. This decline in the macroeconomic indicators was partly due to an uncertain global economic outlook, arising largely from the ongoing Russia-Ukraine war. Additionally, increased global fuel prices, surging of other commodity prices and incessant supply chain disruptions contributed to a tough business environment.

On the revenue front, key clients reduced their advertising spends in the first half of 2022 as the cost of doing business increased. Additionally, heightened political activities due to the general elections led many customers to reduce or delay their marketing activities. On the positive side, digital revenues continued to grow in 2022 with figures tracking at 9% above the same period 2021.

The Group's performance for the 6 month period ended 30 June 2022 showed a 14% decrease in revenue from Kshs.1.6 billion in 2021 to Kshs.1.4 billion for the same period in 2021. Total operating

costs increased by 7% driven by an increase in direct costs and overheads of 2% and 7% respectively. This was attributed to the rising costs of doing business.

The Group's bottom line declined closing at a loss after tax of Kshs 300 million against a loss after tax of Kshs. 61.1 million for the same period last year.

Outlook

The Board and Management continue to focus on innovation driven revenue growth alternatives supported by quality content and journalism. The Group also continues to employ cost rationalization measures that will ensure the business is able to navigate through the challenging environment successfully.

BY ORDER OF THE BOARD

Millicent Ng'etich
Company Secretary
27 August 2022

Condensed Consolidated Statement of Cashflows for the 6 month period ended 30 June 2022

	6 Months ended 30 June 2022 (Unaudited) Kshs'000	6 Months ended 30 June 2021 (Unaudited) Kshs'000
Cashflow from operating activities		
Cash generated from operations	165,608	225,927
Interest Paid	(85,688)	(81,560)
Tax paid	-	(2,013)
Net cash flows from operating activities	79,920	142,354
Cashflows: Investing activities	(11,122)	(179,858)
Cashflows: Financing activities	(46,939)	93,348
Net increase in cash and cash equivalents	21,859	55,844
Cash and cash equivalents at the start of the period	(189,827)	(159,565)
Cash and cash equivalents at the end of the period	(167,968)	(103,721)

Consolidated Statement of Changes in Equity for the 6 month period ended 30 June 2022

	Share Capital Kshs'000	Share Premium Kshs'000	Capital Redemption Reserve Kshs'000	Revenue reserve Kshs'000	Shareholders equity Group Kshs'000	Minority Interest Kshs'000	Shareholders equity Total Kshs'000
As at 1 January 2021	408,654	39,380	102	474,631	922,767	196,811	1,119,578
Loss for the half year	-	-	-	(54,647)	(54,647)	(6,566)	(61,213)
At 30 June 2021	408,654	39,380	102	419,984	868,120	190,245	1,058,365
As at 1 January 2022	408,654	39,380	102	408,831	856,967	189,455	1,046,422
Loss for the half year	-	-	-	(278,501)	(278,501)	(21,736)	(300,237)
At 30 June 2022	408,654	39,380	102	130,330	578,466	167,719	746,185